PART I

The Panic of 1907 was the first worldwide financial crisis of the twentieth century. It transformed a recession into a contraction surpassed in severity only by the Great Depression. During this crisis the New York Stock Exchange fell almost 50% from its peak the previous year. The panic's impact is still felt today because it spurred the monetary reform movement that led to the establishment of the Federal Reserve System. In all, 9,000 banks failed--taking with them $7 billion in depositors' assets. And in the 1930s there was no such thing as deposit insurance--this was a New Deal reform. When a bank failed the depositors were simply left without a penny. The life savings of millions of Americans were wiped out by the bank failures. The 2008 crisis mainly consisted of very low interest rates from the Dot Com bubble and an extremely inflated real estate market. When the bubble burst, unemployment reached 10%. About 3.8 million Americans lost their homes to foreclosures. The package organised by the government included many measures, such as a huge purchase of "toxic assets," an enormous investment in bank stock shares, and financial lifelines to Fannie Mae and Freddie Mac.

One common thread between the historic crises of the early 20th century and the Great Financial Crisis of 2008 are the financial innovations. In the precursor to the 1907 crisis, the invention of trust firms and widespread insurance helped them become huge conglomerates and undue influence in the markets. During the 1920s, people gained access to highly leveraged trusts allowing them to take out loans by using stocks as collateral, in order to buy more stocks. This implied that if the overall market crashed, then not only will their leveraged portfolio fall heavily, but there will be astonishing margin calls causing even more sell off in the market, further propelling the crash. This is erringly similar to the 2008 crisis.

New financial creations like CDO and MBS and the formation of Fanny and Freddie exacerbated the crisis and allowed multiple layers of leverage.

There also was very liquidity in the markets and assets were traded at volumes never seen before. In 1927, 577 million stocks were bought and sold on the New York Stock Exchange. In later 2000s, the volume of traded stocks is even huger: more than 2 billion are traded solely on the Nasdaq daily. The following year, 920 million stocks were exchanged on Wall Street. Not only was the stock market flourishing, the economy was very active too. The American economy in the 1920s is a prosperous one.The republican president Herbert Hoover, sworn into office in 1929, predicted that “peace would rule the world for many years” and that “the world is at the brink of great commercial growth.” Of course, he had reason to be optimistic. Industrial production, in particular in the automobile sector, was booming. In 2008, the US economy also boasted strong figures: GDP per capita rose by 2.2% in 2007, 3.4% in 2006, and 3.2% in 2005.

Let’s have a look at the government actions prior to the individual crisis. In 1907, Roosevelt started a government hunt for the conglomerates and started busting trusts, especially the railways. In 1929 the government didn't actively intervene with the market but the Fed had raised rates which might have caused but definitely exacerbated the bank runs. During 2008, the Community Reinvestment Act (CRA) and Gramm-Leach-Bliley Act along with the Fed’s near 0 interest rates policy during the Dot-com bubble and pump money into the system, laid the path for LIAR loans, CDO, MBS to originate. Just like leveraged portfolios were the highlighted asset class in 1929, leveraged mortgages were the main asset class in 2008, causing financial markets to breakdown.

Another common point was the presence of crooked and phony actors. During the 1907 crisis, Augustus Heinze and Charles Morris tried to corner the copper market, which led to the bank run on Knickerbocker bank and the banking system subsequently unravelling. In 1929, Joseph Kennedy, Albert Wiggins, Charles Mitchell, who were all expert market manipulators, caused unforeseen euphoria in the markets when he made a statement. In 2008, we saw individuals taking gross advantage of the CRA to get loans. Moreover, the rating agencies were paid by the very same companies who they were rating for the MBS/CDO type instruments, causing them to turn increasingly fraudulent.

PART II

In 2007, the SPDR S&P Bank ETF was at a high of $60 and last year it was very close at $56. The banking industry is in a bubble that has been held up by the government and is very likely to burst if nothing is done to take care of it. Let us look at SVB as a case study to understand where we are in the Jean-Paul Rodrigue model and how to solve the problem. In the case of SVB, the Santa Clara, California-based institution parked much of its cash in long-term government bonds, which are ultra-safe in terms of losing the initial investment, but were not worth as much as when SVB bought them, because interest rates have since gone higher. The bank had to sell off some of those bonds to meet customer demands for withdrawals at less than it paid for them, resulting in a nearly $2 billion loss.

When SVB disclosed that loss, along with a plan to raise an additional sum from Wall Street, it sparked fears among its venture capital and tech start-up-heavy customer base that the bank was insolvent. In a social media-fueled panic, customers rushed to withdraw their money out of concern that the bank would run out of cash — a classic bank run. Other dominoes have

fallen since: First Republic Bank is still in need of rescue and Credit Suisse was sold to UBS in a contentious deal that may face lawsuits from bondholders.

“Banks are finding themselves with investments that are losing big money, and when depositors come in, they can’t turn them into something liquid fast enough to pay back people who want their deposits,” he says. “That’s what happened in 2008—people had all these mortgage-backed securities and no one knew what they were worth.”

More banks will likely fail despite US authorities intervening to boost the confidence in the banking system following the collapse of Silicon Valley Bank, according to Pershing Square founder Bill Ackman. The primary issue was that many of those securities have fallen in value as the Fed has raised interest rates. The terms would allow banks to borrow at 100 cents on the dollar for securities trading potentially well below that value, potentially putting the government at risk of losses incurred by banks. Critics said the move would essentially offer a backdoor subsidy to bank investors and management for failing to properly manage interest-rate risks.

SVB also had a significantly higher share of uninsured depositors than other banks, which meant that much of their assets wouldn't be protected by the FDIC's $250,000 insurance if the bank failed. As a result, spooked depositors rushed to withdraw their funds, creating a classic "run on the bank."

Experts say Congress opened the door to such problems five years ago when it loosened parts of Dodd-Frank, which among other changes forced the nation's biggest banks to adopt safer lending and investing practices. Under that law, banks with more than $50 billion in assets

became subject to stringent requirements including a stress test, which examines whether a bank has enough capital to survive when financial conditions sour. The 2018 law blunting Dodd-Frank lifted that threshold from $50 billion in assets to $250 billion. That meant SVB, with just over $200 billion in assets, didn't have to undergo a stress test.

We are towards the beginning of the ‘Blow Off Phase’ of the Jean-Paul Rodrigue model, just before the ‘Bull Trap’. I believe that the Fed shouldn’t even have backed all the deposits at SVB. The huge depositors like Roku knew what they were getting into and there was no imminent need or any specific reason to save the tech venture capitalists space. This shows that the Fed has gone beyond its mandate to save smaller banks that are not ‘too big to fail’. The 2008 financial crisis also triggered a banking crisis and the ‘First Sell Off’. Later on, as all the banks become aware of the fact that the FDIC along with the Fed and the government will not let even minor banks fail, they become more and more lenient with their deposited money. As this gained more media attention and as enthusiasm and greed took over, the depositors and the banks became more careless, causing a bank run like the Silicon Valley Bank and Signature Bank tragedy. Later as many banks fail, triggering a major crisis in the banking world. So as many believe we will return to the ‘Normal’, that is when the ‘Fear’ and ‘Capitulation’ phases are the most dangerous.

The first step to solve this problem is one that has been already taken up in Congress. Senator Elizabeth Warren, a Democrat from Massachusetts, introduced a bill on March 14 that would roll back the 2018 law weakening Dodd-Frank. So one of the first steps would be to repeal this law and make stress testing more common. This is very scary at the moment as more than 190 banks are at the risk of failing too. Moreover, making the Fed more strict and conservative in helping failing banks is the long term solution to this problem.